

Asset Clean-up Bears Fruit

The country's second-largest public sector lender kept laser-sharp focus on asset quality and operational profits. This, coupled with tax savings, makes it well-placed for FY26

BY SURABHI

“WE HAVE SET a target that operating profit should be the top agenda. Whatever we do should, in some way, contribute to the operating profit.” Ashok Chandra, Managing Director and CEO, has clearly set the agenda at Punjab National Bank (PNB).

Financials	FY24	FY25	Growth (%)
Net Interest Income (₹crore)	40,530	43,306	6.8
Profit After Tax (₹crore)	8,329	17,440	109.4

Market Valuation	July'23-June'24	July'24-June'25	Change (%)
1-Year Average (₹crore)	1,06,929	1,18,454	10.8

Shareholding as of June 2025 (%)	
Promoters	70.08
FIs	5.52
DII*	14.95

NOTE *INCLUDES MF AND INSURANCE COMPANIES' HOLDINGS; FINANCIALS ON CONSOLIDATED BASIS **SOURCE** ACE EQUITY

THE PERFORMANCE

PNB—the country's second-largest state-owned lender—has been building up on its profitability over the years. In FY25, standalone operating profit rose 7.6% to ₹26,831 crore, from ₹24,931 in FY24. Standalone net profit more than doubled to ₹16,630 crore in FY25, from ₹8,245 crore in FY24, and consolidated profit after tax (PAT) saw a lofty rise of 109% from ₹8,329 crore to ₹17,440 crore.

No wonder the bank is on the list of firms that have seen the highest growth in PAT among companies with one-year average m-cap of ₹10,000 crore and above and minimum profit of ₹1,000 crore in FY25. It has secured the 22nd rank in the BT500 list and is the eighth most profitable lender. Chandra attributes this to the strategy of keeping a check on non-performing assets and improving asset quality.

Analysts are upbeat about the bank. Asutosh Mishra, Head of Research, Ashika Institutional Equity, says net profit more than doubled in FY25 due to a structural improvement in asset quality and strong operating performance.

Chandra says migration to the new tax regime will create additional value for stakeholders. “Going forward, I think the net profit will improve,” he says, adding that this will save about ₹700 crore in tax every quarter. The migration to the new tax regime had meant a hit of ₹3,324 crore in the April–June quarter due to a mandatory provisioning linked to deferred tax assets. This had sharply reduced the quarterly net profit.

THE STRATEGY

Chandra is upbeat about the banking sector with expectations of improvement in credit demand, especially from corporates, in view of rate cuts by the Reserve Bank of India. He also expects a revival in the capex cycle.

The other priority for the bank, says Chandra, is growing the retail, agriculture, and MSME portfolio (RAM) to 60% of the loan book from about 56% now. The contribution of the corporate portfolio will be 40%.

This is not all. It's busier than usual at PNB. The lender is focussing on building up its credit card vertical and pushing the recently-launched cash manage-